

Chapter Four

Type of Change

I. Planned Change VS Unplanned Change

Planned Change

Planned change is intentional and occurs with a change agent's direction. It is a direct response to a leader's *perception of a performance gap*, or discrepancy between the desired and actual state of affair. Performance gap may represent problem to be resolved or opportunities to be explored. In each Case leaders as a change agent is aware of performance gap and take action to initiate planned change to deal with them.

Planned change is also regarded as developmental or incremental change which is implemented with objectives of improving the present way of operation and to achieve the predefined goals. **Planned change is calculated** and is not threatening as the future state is chosen consciously. **The introduction of new product and technologies, organizational restructuring, team building, enhancing employee communications and moral as well as technical expertise fall under the category of planned change.**

Phases in Planned Change: a successful planned change passes through the following three stages.

Unfreezing: is the stage in which managers help others to develop, experience, and feel a real need for change. The goal here is to get people to view change as a way of solving problem or taking advantage of an opportunity. Some might call this the "burning bridge" phase, arguing that in order to get people to jump off a bridge, you might just have to see it on fire. Managers can stimulate the burning bridge by engaging people with facts and information that communicates the need for change environmental pressures, declining performance, and alternative approaches.

Changing phase: is the phase where actual change will take place. Ideally these changes are planned in ways that give them the best opportunities for success having maximum appeal and posing minimum difficulties for those being asked to make them.

Refreezing phase: here the focus is on stabilizing the change to make it as lasting as needed. Linking changes with rewards, positive reinforcement and resource support all

help with refreezing. Of course, in today's changing environment there may not be a lot of time for refreezing before things are ready to change again.

II. **Unplanned Change**

Unplanned change usually occurs because of a major, sudden surprise to the organization, which causes its members to respond in a highly reactive and disorganized fashion. Unplanned change is a result of unforeseen occurrence of various factors like change in the demographics compositions, change in governmental regulations and economic. Unplanned change might also occur when the Chief Executive Officer suddenly leaves the organization, significant public relations problems occur, poor product performance quickly results in loss of customers, or other disruptive situations arise. The appropriate goal in managing unplanned change is to act immediately once it is recognized in order to minimize negative consequence and maximize possible benefits.

B. Evolutionary Vs Revolutionary Change

Organizational change can be occurred *quickly* or *slowly* it is useful to classify organizational change in to two types.

Evolutionary Change

Evolutionary change is *gradual, incremental, and narrowly focused*. Evolutionary change is not dramatic or sudden but, rather, is a constant attempt to improve, adapt, and adjust strategy and structure incrementally to accommodate to changes taking place in the environment. Such improvements might entail utilizing technology in a better way or reorganizing the work process. *Total quality management (TQM)* and organizational development are among the known evolutionary changes.

Total quality management (TQM)

Is a management technique that focuses on finding the ways to continuously make incremental improvements to work procedures that drive down cost and drive up quality of organization's products or services. TQM focuses on improving the quality of an organization's products and stresses that all of an organization's value-chain activities should be directed toward this goal. TQM requires the cooperation of managers in every function of an organization, and across functions, if it is to be succeeded.

The following steps are necessary for managers to implement a successful TQM program

❖ ***Focus on customer needs:*** TQM see customers as the starting point. It requires:

- i) Identifying what customers want from the goods or services that the company provides;
- ii) Identifying what the company actually provides to customers;
- iii) Identifying the gap that exists between what customers want and what they actually get (the quality gap); and
- iv) Formulating a plan for closing the quality gap.

❖ ***Measuring & assuring quality:*** TQM requires the development of a measurement and assurance system that managers can use to evaluate quality.

❖ ***Aligning goals and incentives:*** once a measure has been devised, managers 'next step is to set a challenging quality goal and to create incentives for reaching that goal, Such as reducing consumers 'complaints by 50%, and so on. Regarding incentives- give bonus and promotional opportunities for contributions and goal attainment.

❖ ***Solicit input from employees:*** create an environment in which employees will not be afraid to report problems or recommend ways of improvements. Quality circle is the one among the mechanism. Quality circles –group of employees who meet regularly to discuss ways to increase quality-are often created to achieve this goal.

❖ ***Identify defects and trace them to their sources:*** identify defects in the work process, trace those defects back to their source, find out why occurred, and make corrections so that they do not occur again.

❖ ***Design for ease of production:*** designing product that have fewer parts or finding ways to simplify providing a service should be linked to fewer defects or customer complaints. Because the more steps required assembling a product or providing a service, the more opportunities there are for making a mistake.

❖ ***Breakdown barriers between functions:*** successful implementation of TQM requires substantial cooperation between the different value-chain functions.

Advantage of Evolutionary Change

- ☞ Highly likely that, if the change is implemented it will become part of the culture
- ☞ more people have been involved in the design more people identified with change
- ☞ likely that the change fits the organizations, understanding the current situations
- ☞ More brains around the problem, leading to more thoughtful solution

Disadvantage of Evolutionary Change

- ☞ Change may be introduced that do not move the organizations toward where it needs to go.
- ☞ Hard to find people who are good at making evolutionary change it is skill what's more these people rarely take credit for their work.

Revolutionary Change

Revolutionary change is a *rapid, dramatic, and broadly focused change*. It involves a bold attempt to quickly find new ways to be effective. Organizations faced with dramatic, unexpected changes in the environment (for example, a new technological breakthrough) or with an impending disaster resulting from mismanagement, an organization might need to act quickly and decisively. Revolutionary change is a *radical shift* in ways of doing things, new goals, and new structure for the organization. *Reengineering*, *restructuring*, and *quantum innovation* are the three important instruments for revolutionary change.

- **Reengineering:** involves rethinking and redesigning work, job or processes to increase or improve cost, quality, service and speed.
- **Restructuring** – it involves reducing the size of the firm in terms of size, number of employees, structure to reduce costs. It may entail changing task and authority relationships and redesigning organizational structure and culture to improve organizational efficiency and effectiveness.
- **Innovation:** the process by which organizations use their skills and resources to create new technologies, developing new goods and services, and better respond to the needs of their customers.

❖ Advantage of revolutionary change

- low risk of the change failing to take effect or be implemented
- Change will occur quickly.
- looks good on resumes and annual report

❖ Disadvantage of revolutionary change

- Change may not become part of the culture before management focus shifts, the change may roll back a few months after leadership change focus.
- Job security for the leader if the change doesn't provide the benefit expected, or otherwise fails the people who mandated the change may lose their job
- Opportunity cost other improvement may be needed but everyone is tied up working on mandated improvements.

The Concept of BPR

Why BPR is Necessary? The reality facing today's world

Business companies, government organizations, public enterprises all of them regardless of their size or any natural existence has been facing very challenging business environment that can determine their existence, success or failure.

For today's world: **The globalization** is posing challenges such as

- Put organization in challenge and impose the need to reduce costs.
- Seek greater responsiveness to customers' needs.
- Seek flexibility in managing their business.
- Challenge in managing flexible need of customer to cop up with fierce competition and rapid changing environment.
- Drive for challenging business life.

Driving forces

Three forces, separately and in combination drive the changes. These are

- ◆ Customer, Competition and Change

1. Customer

- ◆ The dominant force in the seller-customer relationship has shifted from seller to customer
- ◆ A mass market no longer exists in real term.
- ◆ Customer has upper hand; Because:
 - They have choices.
 - Due to advanced role of technology and access to information, customers know what they want, know what they want to pay for it, how to get it as their needs and preferences.

2. Fierce Competition

- The phenomenon of mass marketing has broken.
- The traditional competitive strategies: lower price and highest quality, and best service become standard for almost all competitors.
- The shift in customer-seller relationship and the technology changes the nature of competition.

3. Change

- Change becomes constant.
- The pace and nature of the change also changing
- The nature of change becomes fast, flexible
- Today nothing is constant or predictable - the customer demand, the technology, the competition.

Response for the challenges:

Organizations have passed through long experience to cope up with these challenges in order to exist, succeed, or to live in this tough environment.

The attempts are undertaking reforms within the bureaucratic paradigm; without abandoning it.

- ◆ Decentralization
- ◆ Remerges
- ◆ Downsizing
- ◆ Delaying or flattening the organization.

Besides these, automation and the exploitation of technologies, restructuring of different form and level etc has made to respond to this competitive environment.

* As the result of these reforms: - organizations attempted to: -

- Reduce their overhead cost; reduce the costs of bureaucracy (e.g. Using decentralization) thereby tried to live in this flux environment.

Today, **the nature of customers, competition and change** has created tough environment for organizations that have been working in the principles of mass production which helped their businesses succeed yesterday but does not fit for today's new world of work.

The new business world requires organizations to build working system that can make them responsive, flexible and customer focus. The fragmentation and traditional bureaucratic organization of mass production era do not fit these requirements.

These new features of organization entailed the shift in the approach of work from task based to process-based thinking

Meaning of Reengineering

The concept of BPR was successfully popularized by two sets consultants: Hammer and Champy (1993) and Davenport (1993).

- Reengineering means Challenging the status quo, 'Starting over', A 'fresh start', 'blank sheet' start.
- It does not mean trying to repair or improve the existing system so that they work better. But abandoning long established procedures and looking afresh.
- Generally, reengineering is creation, reinvention of new way of doing business, recreation of the different new form of organization.

Reengineering is defined as:-

"The fundamental rethinking and radical redesign of business processes to achieve dramatic improvement in critical, contemporary measures of performance, such as cost, quality, service level, and speed". (Hammer, 1993)

This definition contains four key words (Fundamental, Radical, Dramatic, Processes) which are the pillars or building blocks of BPR.

A. Fundamental Rethinking

A fresh start, blank sheet review. Starts challenging the status quo by asking basic questions about company and how they operate.

➔ Why do we do what we do? And why do we do it the way we do?

Reject all rules and assumptions that underlie the foundation of your organization. Reengineering takes nothing fore granted. It ignores what is and concentrates on what should be. Reengineering begins with no assumption and givens. You unlearn all rules, assumptions, principles and techniques that underlie the way your organization is

organized and been conducted, but start afresh. Reengineering first determine what a company must do, then how issue comes latter

B. Radical Redesign

Radical redesign means getting to the root of things. It involves throwing away the old, disregarding all existing structures and procedures and inventing completely new ways of doing work. Reengineering is about business reinvention - not business improvement, business enhancement or business modification.

C. Dramatic Improvement

Reengineering is not about making marginal or incremental improvement but about achieving quantum leaps in performance. It is about bringing drastic cost reduction, (e.g. not 10% but 10X) dramatic improvement in quality, speed and service level.

D. Processes Focused

It is the processes not the organizations, or parts of it such as department, or work units to be redesigned in reengineering. Organizations cannot (and should not) reengineer the department or work unit, but business processes that to be redesigned.

- ◆ Processes mean simply- a set of activities together produce a result of value to a customer.

The Basic Characteristics and Common features of Reengineered Business Processes

1. Several jobs are combined into one

The most basic and common feature of reengineered processes is several jobs are compressed into single job. Many formerly distinct jobs or tasks are integrated and compressed into one and could be managed by a single individual called case worker.

However, it is not always possible to compress all the steps in a lengthy process in one integrated job performed by a single person. In other cases, it may not prove practical to train single individual all the skills needed to perform the entire process. The reengineering solution for such kind of problem is pooling together disparate group of individuals into a team and given the total responsibility for handling the jobs entirely the process from start to finish. This group of people is called process team.

2. Worker Make decisions

The traditional industrial practice of building hierarchical management structure drawn from the tacit/implicit assumption that the people actually performing the work:-

- ✓ Have no time and inclination to monitor and control the work,
- ✓ Lack the depth and breadth of knowledge required to make decision about the work they are doing.
- ✓ Therefore, managers supervise the workers and handle the exceptions never work in reengineering.

In reengineered organization, jobs are not only compressed horizontally by having case worker or case teams, but also vertically as well. Instead of separating decision making from real work, decision making becomes part of the work. Hence, workers make their own decision by themselves, that formerly managers performed.

3. The steps in the process are performed in a natural order ("Delinearizing")

Process freed from strict linearity. In reengineered processes, work is sequenced in terms of what needs to follow what. Tasks are performed in natural procedure in the work, rather than artificially linear order. As a result, a lot of jobs can be accomplished simultaneously if need be.

4. Non-value adding activities and handoffs in the process are eliminated.

Accomplishments within the workflow of the process could be estimated against the time (cycle time or speed), cost it require, quality and service level.

5. Processes have multiple versions

One of the common characteristics of reengineered processes is no standardization. Traditional one-size-fits-all processes are not required in the reengineered process. Multiple versions or paths of the same process tuned to the requirements of different market, situations or inputs.

Note that traditional one-size-fits-all processes are usually very complex; by contrast, a multi-version process is clean and simple, because each version needs to handle only the cases for which it is appropriate.

6. Work is performed where it makes the most sense.

After reengineered work is shifted across organizational boundaries, it can be positioned or assigned where it can be performed best without lags. Customer of a process can perform some or all of the process in order to eliminate handoffs, overheads and cut costs.

Example 1 - Instead of one unit make purchase for each operating units in an organization, it is better cost effective if each units manage it by themselves. This can reduce the cost of delay, bureaucracy and etc.

7. Checks and Controls are Reduced

In reengineered process checking and control is a non-value-adding work that gets minimized. Reengineered process uses controls only to the extent that they make economic sense.

8. Reconciliation is minimized

Reconciliation is non-value-adding work that reengineered process minimizes it. This is achieved by cutting back the number of external contact points that a process has, thereby reducing the chances that inconsistent data requiring reconciliation will be reduced.

9. A case manager provides a single points of contact

This mechanism is useful when the steps of a process either are so complex or are dispersed in such a way that integrating them for a single person or even a small team is impossible. As time condition - case manager is required for acting as a buffer between complex process and the customer.

The case manager behaves with the customer as if he/she were responsible for performing the entire process. The case manager needs access to all the information system in the process in order to be able to answer the customers' questions and solve their problems. This case manager should be empowered, and is known as 'empowered' customer service representatives. Empowered customer service representative can actually get things done.

What Reengineering is not?

It is very important to note the following forms and manifesto of change programs that are different from reengineering.

1. Reengineering is not automation or computerization

It is true that Computerization can speed work up, and Automation can faster jobs accomplishment.

In automation and computerization, the old system is improved to make things better. But it does not bring fundamental improvement in performance. Automating existing processes with information technology does not provide the breakthrough performance because you are automating or computerizing the old system. Automation simply provides more efficient way of doing the wrong kind of things or, if your processes are inefficient and not customer focused, automating them will allow you to work inefficiently more quickly. Therefore, automation or computerization does not mean reengineering. Reengineering is innovation, creating new system of work. Automation is fixing the existing system to work faster.

2. Reengineering is not restructuring or downsizing

Restructuring or downsizing reduce size of the firm to match the demand at time of fewer market. It means doing less with less. However, reengineering means doing more with less. Downsizing reduce costs by getting rid of people and jobs, reengineering reducing cost by eliminating non value-adding activities, non-value adding steps, stages, and hand offs and non-value adding rules and procedures.

3. Reengineering is not quality improvement, Total Quality Management (TQM)

It is true that quality programs and reengineering shares a number of common themes. They both recognize the importance of processes and both start with the needs of a customer. However, the two programs are fundamentally different that TQM focuses on making incremental improvements whereas reengineering entails dramatic improvements.

4. Reengineering is not decentralizing or outsourcing

The objective of outsourcing is to reduce costs (the market can perform more efficiently). Reengineering has no assumption (old thought); but determining what the organization need to do and the best way to do it.

The Phases/ process of BPR

Effective implementation of BPR passes through four phases; planning, understanding, redesigning and implementing.

Phase 1: Planning the BPR

The planning phase of reengineering requires critical considerations on leadership commitment and identification of entry points.

1. Building Leadership Commitment

As BPR follows top-down change approach, leadership commitment is required right from the beginning. Strong, committed, executive leadership is the corner stone for reengineering. Hammer and Stanton /1993/ have recommended that reengineering leaders need to show

- i. **Passion:** Passion means the leader's strong feeling and desire for BPR change. The leader has to make the reengineering change effort his/her personal agenda in which delegating it to others means proving early failure.
 - ii. **Combination of Patience and impatience:** Impatience/Restlessness is inability to accept the status quo and an urgency to get it done quickly. Whereas patience means the leader need not lose heart despite obstacles and setbacks.
 - iii. **Forming BPR governance structure:** The leader organizes a governance structure, for the project consisting of The Reengineering Leader, Process owner, Reengineering Team, Reengineering Czar and Steering Team/committee (optional).
- A. **The Reengineering Leader:** A reengineering leader is a senior executive /CEO/ who authorizes and motivates the overall reengineering effort. This is so because reengineering succeeds when driven from the top most level of an organization.
- B. **Design or reengineering team:** redesigns the way work is done, identifies the bottlenecks, non-value adding process, and come up with fundamentally new design. Each process team in charge of one process at a time does the actual work of reengineering.

- C. **Process owner**: is the person with the responsibility and authority to manage the newly designed process. He is a coach & advocate for the process. The owner should be a senior-level manager, who carries prestige and reputation, credibility, and clout (power/influence) within the organization. It may involve a case worker or case team.
- D. **Reengineering czar**/subject matter experts: are not on the design team, but are familiar with the process to be reengineered. They provide specific knowledge, skill and expertise not available in the team or provide specific guidance about technical aspects of the reengineered process.
- E. **A Steering Committee**: A policy-making body of senior managers who develop the organization's overall reengineering strategy and monitor its progress.

2. Identifying Reengineering Entry Points

Once leadership commitment and BPR governance structure are formed, the next step is identifying and determining the business process for reengineering. It involves defining business processes and identifying processes to be reengineered.

- A. **Identifying & Defining Business processes**: A business process is a collection of activities that takes one or more kinds of inputs and creates an output that is of value to the customer. Process means a group of related tasks that together create value for a customer (Hammer and Champy, 1993). The first step when identifying the business processes, is to start from the mission of the organization that determines its very existence and then the end results or deliverables, which are consumed by external customers. In other words, we start from the outcome and think of the process backward. Each core and support processes should be identified and give a name.
- B. **Choosing the processes to be reengineered**: Once processes are identified the next task is choosing the processes to be reengineered. The Three major criteria use to select processes to be reengineered includes
 - Dysfunction, which means processes that are broken and in the deepest trouble situation;
 - Importance, that is, processes that have the greatest impact on the company's customer and has the highest link to its mission; and,

- *Feasibility* meaning that processes that are most susceptible to successful redesign at the moment. The leader and CZAR with management body and steering committee must make enough discussion and set priority of order of reengineering

3. Preparing Term of Reference (TOR)

The leader with his core staff should have overall plan and direction of reengineering. Reengineering teams with their process owners should prepare TOR that guides their operation. The TOR shall cover all the study, the redesign processes and up to implementation stages. The TOR should explicitly specify

- The objective of the reengineering project
- Methodology of reengineering.
- Have concrete action plan indicating what to be done, when, how and by whom

Phase II: Understanding the Existing Business Process

Once the process has been identified and selected in phase-I, the next is understanding these processes adequately before proceeding to redesigning it. The goal of understanding the existing business process is to get a high-level view of the existing process in order to produce superior business process from a clean sheet of paper.

In understanding the existing process, the reengineering teams should be able to

- Define the business process
- Studying what the process produces
- Why is the process producing such results,
- Study customer needs and problems, and
- Show where the process begins and ends,
- Specifying its input and output,
- Describe the sub-process, (if any)
- Mapping the process, and
- Showing the interfaces of different processes.
- Setting the performance baseline

This phase stresses on knowing something about the current process on the 'what' and the 'why' of the existing business process; like what it does (**What it produces?**), and why it tries to accomplish (**Why is the process producing such results?**).

Phase III: Redesigning the New Process:

It needs imagination, inductive thinking and a touch of craziness. In redesigning, the reengineering team abandons the familiar and seeks the outrageous. Redesign requires the team members to suspend their belief in the rules, procedures, and values that they have honored their whole working lives. In order to produce breakthrough ideas, the team can use different techniques such as benchmarking, breaking assumptions to develop crazy/whacko ideas and brain storming.

Phase IV: Implementing the New Process Design Building Process Centred Organization

Business process is the mechanism by which work is performed and value is created. As a result of reengineering, the organization shifts its perspective from task-based thinking to process-based thinking and designs a new superior process.

Implementing the new business process and it involves the following steps

- i. Preparation of implementation plan (action plan, communication plan, change management strategy plan, control & monitoring plan)
- ii. Preparation of work manuals that can be used as a guide for case workers, case teams and the managers
- iii. Testing the new system that includes training of employees, implementing the new process, getting customer feedback, refining the process, & preparing revised plan for full-scale implementation.
- iv. Full scale implementation and building the new organizational values such as flexibility, responsiveness to customer needs, employee empowerment etc.